

How to build a startup portfolio

Bundle Academy · Portfolio craft · Level 3 · 4 min · Source document for NotebookLM video generation

Position sizing, sector spread, stage balance and pacing: the craft, end to end.

WHAT THIS VIDEO MUST LAND

By the end the viewer should be able to state the argument below in their own words. It is one argument, not a list of tips. Every number is illustrative of published ranges, not a forecast of any specific investment.

- Set the allocation cap before you look at a single deal.
- Cheque size = $\text{cap} \div \text{target position count}$.
- Spread across sector, stage and route in, not just company count.
- Pace across years and reserve part of the budget for follow-ons.

THE ARGUMENT, IN ORDER

1 Start with the cap, not the deal

Narration: Decide what share of your investable wealth belongs in private markets before you look at anything. For most people it is single digits.

On screen: A donut visual.

Hold: about 8 seconds

2 Then divide, do not multiply

Narration: Your cheque size is the cap divided by your target position count. Drag it: bigger portfolios mean smaller cheques, and that is the point.

On screen: A grid of 100 dots where 20 are held, showing how many winners a portfolio of that size is likely to capture at a 5% hit rate.

Hold: about 9 seconds · interactive control: Target positions (5–50)

3 Spread the risk you can see

Narration: Sector, stage and route in. Four sectors and two stages beats twenty companies doing the same thing at the same moment.

On screen: A donut visual.

Hold: about 8 seconds

4 Pace it over years

Narration: Deploy a fixed amount a year rather than all at once. Vintage diversification is the one nobody talks about.

On screen: A timeline visual.

Hold: about 8 seconds

5 Reserve for the winners

Narration: Hold back part of each year for follow-ons. Doubling down on the ones that are working is where portfolios are made.

On screen: A bar chart measured in % of annual budget: New positions = 70 % of annual budget; Follow-on reserve = 30 % of annual budget.

Hold: about 7 seconds

6 Write it down

Narration: A plan you can read back is a plan you can stick to when a hyped round is in front of you.

On screen: A stat visual.

Hold: about 6 seconds

THE SAME ARGUMENT IN PROSE

Portfolio construction runs in one direction: from your total wealth down to a single cheque, never from an exciting deal upwards. Set the share of investable assets that belongs in private markets first. For most people that is a single-digit percentage, and the restricted-investor category in the UK formalises it at 10%.

Divide that cap by the number of positions you intend to hold, and you have your cheque size. If the answer is uncomfortably small, the honest fix is fewer pounds per deal or more years of investing, not fewer positions.

Diversify along the dimensions you can actually observe: sector, stage and route in. Companies in one sector and one vintage fail together, which is precisely the correlation that undoes a nominally broad portfolio.

Then pace it. Investing a fixed amount each year buys you vintage diversification, keeps dry powder for follow-ons into the positions that are working, and stops a single hot market from defining your whole portfolio.

TONE AND CONSTRAINTS

- **Never give advice.** Describe how the asset class behaves. Do not tell the viewer what to buy, how much to invest, or that anything is a good opportunity. No "you should", no "we recommend".
- **Do not invent numbers.** Use only the figures in this document. If a figure is not here, leave it out rather than estimating one.
- **Keep the risk honest.** Losing everything is the single most likely outcome for any one early-stage company. Never soften that, and never end on a purely upbeat note that contradicts it.
- **Plain English.** UK spelling. Expand any term the first time it appears. No hype words: no "unlock", "supercharge", "game-changing", "revolutionary".
- **Calm, factual delivery.** This is an explainer, not a pitch. No urgency, no countdowns, no scarcity.
- **No specific companies.** Do not name real companies as examples, and do not imply any listing is available or recommended.

BASIS OF THE FIGURES

Illustrative framework, not a recommendation. Your own limits depend on your circumstances.

Bundle is an aggregator of private-market opportunities listed on third-party venues. It holds no client money, executes no trades and gives no advice. Private-market investments are illiquid, are not covered by the FSCS, and you may lose all the money you invest. This document is educational source material, not a financial promotion.